8-6a Characteristics of Notes Receivable

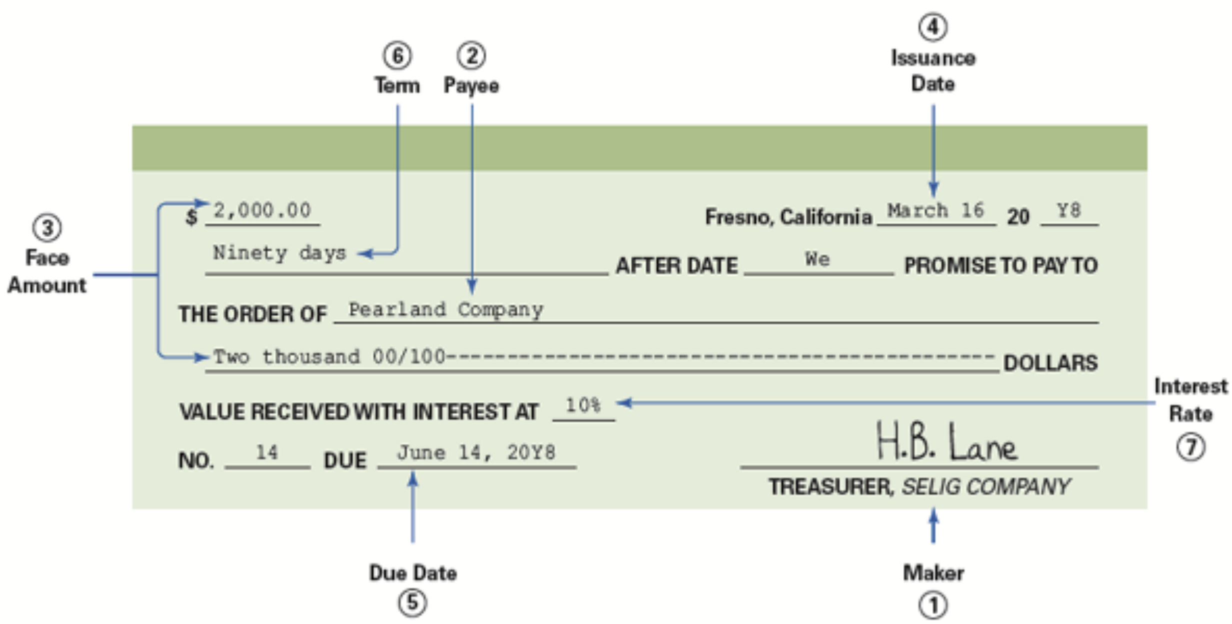
A promissory note is a written promise to pay the face amount, usually with interest, on demand or at a date in the future. Characteristics of a promissory note are as follows:

1. The *maker* is the party making the promise to pay.
2. The *payee* is the party to whom the note is payable.
3. The *face amount* is the amount for which the note is written on its face.
4. The *issuance date* is the date a note is issued.
5. The *due date* or *maturity date* is the date the note is to be paid.
6. The *term* of a note is the amount of time between the issuance and due dates.
7. The *interest rate* is that rate of interest that must be paid on the face amount for the term of the note.

Exhibit 6 illustrates a promissory note.

Exhibit 6

Promissory Note

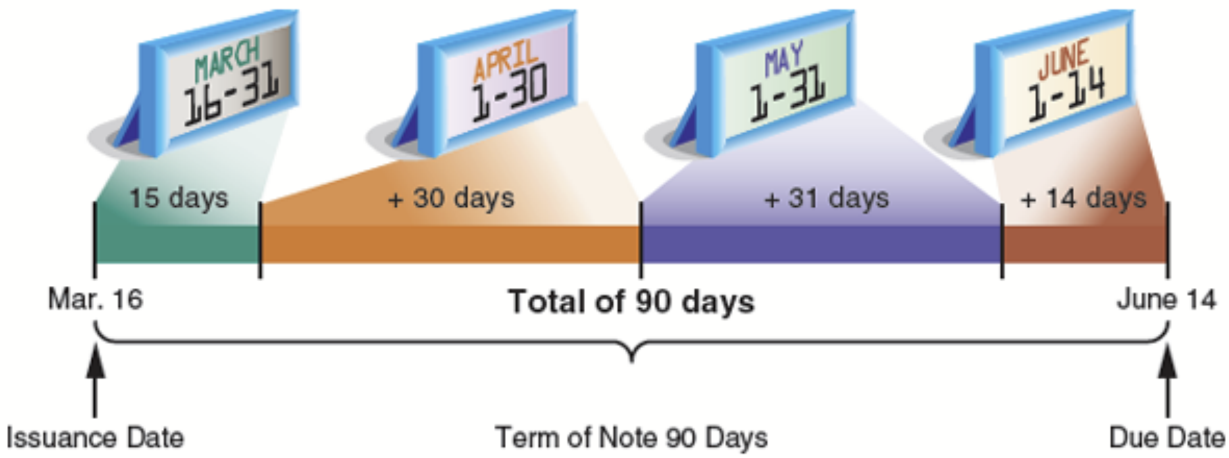


The maker of the note is Selig Company, and the payee is Pearland Company. The face value of the note is $2,000, the interest rate is 10%, and the issuance date is March 16, 20Y8. The term of the note is 90 days, which results in a due date of June 14, 20Y8, computed as follows and shown in Exhibit 7:

Days in March	31 days
Minus issuance date of note	(16)
Days remaining in March	15 days
Add days in April	30
Add days in May	31
Add days in June (due date of June 14)	14
Term of note	90 days

Exhibit 7

Determining Due Date of Promissory Note



The interest on a note is computed as follows:

$$\text{Interest} = \text{Face Amount} \times \text{Interest Rate} \times (\text{Term} \div 360 \text{ days})$$

The interest rate is stated on an annual (yearly) basis, while the term is expressed as days. Thus, the interest on the note in Exhibit 6 is computed as follows:

$$\text{Interest} = \$2{,}000 \times 10\% \times (90 \div 360) = \$50$$

To simplify, 360 days per year will be used. In practice, companies such as banks and mortgage companies use the exact number of days in a year, 365.

The **maturity value** (The amount that is due at the maturity or due date of a note, which is the sum of the face amount and any interest.) is the amount that must be paid at the due date of the note, which is the sum of the face amount and the interest. The maturity value of the note in Exhibit 6 is $2,050 ($2,000 + $50).